

SME Champion

❶ OfBusiness directly sources materials from the origin and delivers them to SMEs, eliminating middlemen

❷ It promises to provide better prices, quality and reliable input materials, and on-time delivery to SMEs

❸ Steel is its leading category, followed by non-ferrous metals like aluminium, copper, and zinc, along with petrochemicals, agriculture, chemicals, and polymers

A FUNDING SNAPSHOT

► In 2021, the company secured a whopping \$745.5 million in funding

► The company secured unicorn status in mid-2021

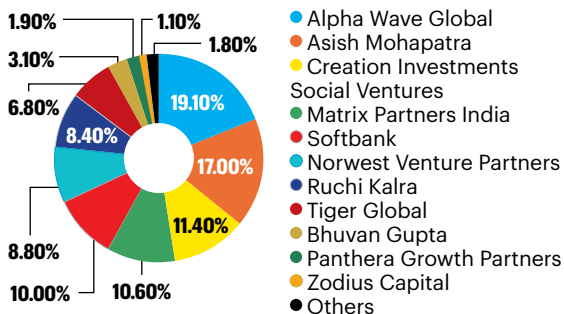
YEAR	AMOUNT	YEAR	AMOUNT
2015	4.3	2019	44.1
2016	1.1	2021	742.5
2017	10.2	2022	95.3
2018	25.9	2023	6.53

Amount in \$ million **Source** PrivateCircle Research

STAKEWORTHY

► Alpha Wave Global holds the largest stake at 19.1%. It initially invested in its Series A in 2018

► Asish Mohapatra and wife Ruchi Kalra hold 27.5% stake



Note Shareholding data as of January 17, 2024
Source PrivateCircle Research

two months, by April, it reached a monthly turnover of ₹10 crore. By the 36 month mark, OfBusiness was consistently hitting ₹100 crore in monthly revenue.

Currently, steel constitutes 35% of the business, followed by aluminium, copper, and zinc in the non-ferrous category at 16-17%, petrochemicals at 10%, agriculture at 15%, chemicals at 7-8%, and polymers also at 7-8%, with the rest made up of two-three smaller segments.

To make the operations seamless, the company also developed various in-house tech products, including BidAssist for tender sourcing, SMEAssist for digitising SME operations; Ved AI, which is a pricing engine; OxyV for invoice discounting; Oasys for commerce ERP (enterprise resource planning); Tracecost for construction project monitoring; and other tools for lead management and loan processing.

At the other end of the spectrum, building a robust supply chain also presented its own set of challenges.

"I remember sitting outside the office of the Steel Authority of India, during our early days, for close to about four months before they actually agreed to give us a chance. It was the same across suppliers. We were thrown out of a couple of companies, one being Sangam TMT, which we ended up buying later," Mohapatra says.

As the business gained momentum, it began providing credit through a marketplace model, collaborating with banks and non-banking financial companies (NBFCs). However, the team quickly realised that banks and NBFCs were hesitant and took time because they lacked trust in the company's underwriting, mainly due to its relatively small scale. "By the time they gave us a limit for credit, we would have lost the purchase order. So, we decided to do it on our own and that is how Oxyzo was born," he says.

Oxyzo, its lending arm, was launched in June 2018 and OfBusiness stopped third-party lending. Led by Kalra, Oxyzo is particularly pertinent for smaller SMEs seeking purchase financing. In May 2022, Oxyzo became a unicorn when it raised its first round of external funding. OfBusiness has close to 75% stake in Oxyzo.

OfBusiness, which first raised \$4.3 million from Mohapatra's former employer Matrix Partners, subsequently drew the interest of major global private investors such as SoftBank, Tiger Global, and Alpha Wave Global. The company was valued at \$5 billion in its last round in 2021.

The aggregation business for raw material procurement accounts for 72% of its revenue today, while 16% comes from processing, and 12% from manufacturing.